

EVGO pitch deck

PITCH — EVGO — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: NO POSITION at \$1.59. Both benches and the review converge on FLAT; the name stays on the watch docket (~5/10) with specific reopen conditions, because demand is confirmed intact but 2027 funding is an open, computable question with no paying catalyst inside 90 days.

What we believe

EVgo’s demand is real and growing: energy delivered rose 13% year over year, and charging revenue rose 19%. The business problem is not customers — it is money. Growth is entirely bought with capital spending (throughput per stall actually fell about 2% year over year), and the funding picture just got worse: the Department of Energy loan advances were cut from \$1.05 billion to \$625 million, the stock trades at \$1.59 (down 69% from its high, only 13% above its 52-week low of \$1.41), and management still plans to roughly 2.5–3x the build in 2027. Total available liquidity is about \$684 million (\$121.8M unrestricted cash + \$409M undrawn DOE + \$153.4M Voyager facility) against first-half cash use of roughly \$106 million — adequate for now, not obviously adequate for the 2027 plan. The new Tesla partnership (EVgo owns hundreds of V4 Superchargers; Tesla operates and maintains them; deployments start fall 2026) is strategically real but adds owned capital spending with no disclosed economics. Until the funding question resolves, there is nothing here that pays a shareholder to wait.

What the market believes

The market answered the key question for us on August 5, 2026: EVgo announced the marquee Tesla Supercharger deal and the reduced funding guidance the same morning, and the stock fell 12.7% net. A partnership headline that would normally move a \$1.59 stock sharply higher was fully swamped by the funding cut. The market is pricing this as a financing story, not a demand story — it expects the 2027 build to require dilutive equity issuance at depressed prices, and it is not paying anything for the Tesla optionality until economics are disclosed. At 13% above the 52-week low with no confirmed catalyst until the next earnings report (estimated November 9, 2026 — not company-confirmed), the market’s stance is “show me the money.”

Why we might have edge

- **The dilution fear is overstated in the popular telling.** The scary “share count doubled in three years” reading is an accounting artifact of EVgo’s Up-C structure: 23 million Class B units held by LS Power were redeemed into Class A shares, which inflates the Class A count without creating new economic ownership. Measured correctly on total A+B units, dilution was about

+19% over the period — real, but a fraction of the headline. Our own red bench initially made this exact error (see the checks table).

- **Liquidity is better than the bear math.** Counting only unrestricted cash against burn ignores \$562 million of undrawn, build-specific facilities. The near-term runway question is not acute.
- **The Tesla deal has a hidden cost benefit:** Tesla operates and maintains the chargers, offloading ongoing operating cost even as EVgo carries the capital cost.
- **We have defined, checkable tripwires** (hiring taper, G&A, Tesla economics, financing form) that would tell us the funding fork resolved favorably before the market fully reprices it.

Why it might be priced in

Symmetry demands we say it: much of the bear case is consensus. The market already knows the DOE cut, already shrugged off the Tesla deal, and already prices a raise. Meanwhile, several of our residual bull hopes are unproven: the claimed +5% realized price per kilowatt-hour may be partly the mix effect of a dying OEM-credit revenue stream, not durable pricing power (no retail-only price series is disclosed). Cost discipline is not corroborated — job postings surged (6 in May → 10 in June → 42 in July), a hiring wave, not a taper, even if the visible postings skew toward build-side roles rather than overhead. And the controlling shareholder, LS Power (55% economic control via Class B), monetized 23 million units in a December 2024 secondary — the insider with the best information has been reducing. If the funding fork resolves badly, an equity raise at these prices would be genuinely punishing, and LS Power's structural position could let it prime any rescue at the operating-company level ahead of public holders.

What we checked ourselves

claim	how checked	found	confirmed?
"All decisive facts were in the original brief"	Web search of Aug 5 releases	Our own brief missed the same-day Tesla V4 Supercharger PR — a record defect; the catalyst map and capex math in the original brief were wrong (EVgo investor PR)	CONFIRMED (bench error, corrected)
Share count "doubled in 3 years — they print equity" (red bench)	Pulled the share structure from the SEC prospectus (424B3) + Dec-2024 redemption/secondary PRs	23M shares were Class B→A redemptions (economically non-dilutive); true dilution ~+19% on total units. Red bench error, overturned	CONFIRMED (as ~+19%, not 2×)
Hiring wave refutes cost discipline (red called it fatal)	Pre-flight job-posting scan; careers-site recheck (rate-limited, gap)	Wave is real (42 postings in July) but visible roles are build-side, not overhead; August partial (20) may be fading. Red over-tagged fatal → reduced to a sizing concern	PARTIAL
Runway: \$121.8M cash vs ~\$106M half-year cash use	Q2 10-Q figures	Facts right, framing wrong: red omitted \$562M of undrawn build facilities; total liquidity ~\$684M. Red bench framing error, corrected	CONFIRMED

claim	how checked	found	confirmed?
Demand intact (+13% GWh, +19% charging revenue)	10-Q in record	Confirmed; but per-stall throughput -2% YoY — growth is capex-purchased	CONFIRMED
“+5% realized \$/kWh = pricing power”	Decomposition vs management’s own OEM-credit wind-down attribution	Cannot separate price from dying OEM-credit mix; no retail-only series disclosed	NOT CONFIRMED
Tape: \$1.59, -69% from high, 13% off the low	Evidence-pack tape (live IBKR check blocked both benches — coverage gap)	As stated	CONFIRMED (pack only)
Nov 9 earnings date	yfinance-derived only	No company PR confirms it	NOT CONFIRMED
LS Power sell-down	Dec-2024 secondary pricing PR	Controlling holder monetized 23M units — a bear datum red’s own digging should have surfaced (blue caught it)	CONFIRMED

PROPOSED ENTRY BANDS

The courts say no entry at \$1.59. These are the reopen conditions, from the benches’ own math — the position stays at zero until at least one funding-fork gate resolves:

- **Reopen gate 1 (Tesla economics):** disclosed Supercharger unit cost meaningfully below ~\$125,000 per stall, and/or Tesla-navigation routing turning per-stall throughput year-over-year **positive**. Watch for an 8-K or investor deck with deal terms.
- **Reopen gate 2 (cost discipline):** October job-posting re-scan shows a taper (fewer than ~15 postings/month) **and** Q3 adjusted G&A flat at or below ~\$37 million quarter-over-quarter.
- **Reopen gate 3 (pricing power):** company discloses a retail-only price-per-kWh series confirming gains excluding OEM credits.
- **Reopen gate 4 (financing):** any confirmed **non-equity** financing covering the 2027 2.5–3× build. Conversely, an equity raise at these prices re-scores the docket down, not up.
- **Price tripwire (downside):** a break below the \$1.41 52-week low with no gate resolved signals the raise overhang is intensifying — that is a re-underwrite trigger, not a buy signal.
- **Sizing if reopened:** the benches gave no size; any reopened position starts small (starter tranche) given the LS Power structural-subordination risk remains unresolved even in the bull path.
- **Catalyst dates:** next earnings ~2026-11-09 (**unconfirmed** — EVgo typically pre-announces about two weeks out); Supercharger deployments start “fall 2026” (no date given).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.41 (deck-provisional: break of the 52-week low with no funding gate resolved = raise overhang intensifying; re-underwrite tr)
- filing watch: 8-K until 2027-02-06 (deck-provisional: Tesla deal economics, any 2027-build financing, or DOE loan amendment)
- dated pack EVGO|2026-11-09: EVGO: Q3 earnings (yfinance-derived, company has not confirmed; expect a PR ~2 weeks prior) (date confirmed=False)
- dated pack EVGO|2026-10-15: EVGO: scheduled October hiring-velocity re-scan: taper <15/mo plus composition check (date confirmed=False)

What remains unverified

- **The Nov 9 print date** — derived, not company-confirmed.
- **Retail-only price per kWh** — the pricing-power claim cannot be tested with disclosed data.
- **Tesla deal financial terms** — cost per stall, revenue split, O&M terms all undisclosed.
- **Job-posting composition** — the careers site rate-limited us; whether the hiring wave is build-side or overhead is inferred from one visible posting.
- **Live tape and short interest / crowding state** — IBKR and SEC endpoints were blocked for both benches; all quotes are pack quotes from ~Aug 11.
- **Supercharger site list** — hazard and permitting checks are impossible until addresses are named.
- **LS Power's intentions** — the rescue-priming risk is plausible, not demonstrated.

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